

GROUP INTERNAL AUDIT (GIA) REPORT

AUDIT REPORT: Core Banking Systems & IT Infrastructure Governance

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METADATA

- **Report Ref:** GIA-2026-04-CB
- **Target Entity:** Global Banking Corp — IT Operations
- **Lead Auditor:** Marcus Vance, CIA, CISA
- **Audit Period:** Q1 2026
- **Issue Date:** May 14, 2026
- **Executive Sponsor:** Chief Risk Officer

OVERALL AUDIT RATING: NEEDS IMPROVEMENT

Audit Summary: While core operational processes and transaction processing maintain basic baseline controls, critical vulnerabilities were identified in privileged user access management, automated patch application, and third-party vendor disaster recovery validation.

1. EXECUTIVE SUMMARY

Group Internal Audit (GIA) has completed a comprehensive audit of the Bank's Core Banking Systems and IT Infrastructure Governance. The primary objective was to evaluate the design and operating effectiveness of key internal controls surrounding data integrity, system availability, cyber resilience, and regulatory compliance.

During the review, GIA identified **4 significant audit findings** (2 High Severity, 2 Medium Severity). Immediate remediation is required by technology management to mitigate elevated operational risk exposure.

2. DETAILED AUDIT FINDINGS & RECOMMENDATIONS

Finding 1: Excessive Mainframe System Administrator Privileges

- **Severity:** HIGH
- **Observation:** 14 IT staff members were identified with unmonitored root-level privileges on production database clusters. Active session logging was not continuously archived to the SIEM platform.
- **Risk Impact:** Unauthorized schema modification or data extraction without an audit trail, leading to regulatory fines and financial loss.
- **Recommendation:** Implement Privileged Access Management (PAM) with mandatory just-in-time (JIT) workflow approvals and real-time session video logging by Q3 2026.

- **Management Action Plan:** Agreed. IT Infrastructure will deploy CyberArk PAM integration by August 31, 2026. (*Owner: Head of Infrastructure*)

Finding 2: Unverified Cloud Service Provider Disaster Recovery Tests

- **Severity:** HIGH
- **Observation:** The primary cloud host vendor for online banking failed to provide third-party SOC 2 Type II audit attestations for their secondary failover data center for FY2025.
- **Risk Impact:** Potential extended service interruption during a regional failover event exceeding the Bank's RTO limit of 2 hours.
- **Recommendation:** Enforce contractual SLA requirements for annual joint DR simulation exercises and mandatory independent SOC reports.
- **Management Action Plan:** Agreed. Procurement and Third-Party Risk management will initiate formal SLA compliance escalation by June 30, 2026. (*Owner: Vendor Risk Lead*)

Finding 3: Outdated Operating System Patches on Payment Gateways

- **Severity:** MEDIUM
- **Observation:** 8 legacy SWIFT interface servers were running operating system security patches that were over 90 days out of date.
- **Risk Impact:** Vulnerability to known zero-day exploits and malware targeting financial messaging protocols.
- **Recommendation:** Establish automated patch orchestration software to ensure critical security patches are deployed within 14 days of release.
- **Management Action Plan:** Agreed. Patching scheduled during maintenance window on June 15, 2026. (*Owner: CISO*)

3. SCOPE & METHODOLOGY

The audit scope encompassed:

1. Review of IT General Controls (ITGC) across 3 primary data centers.
2. Evaluation of Change Management tickets for core banking code releases from Nov 2025 to Mar 2026.
3. Sample testing of 150 privileged access requests and entitlement reviews.
4. Interviews with key operational personnel across IT Operations, Cybersecurity, and Payment Operations.